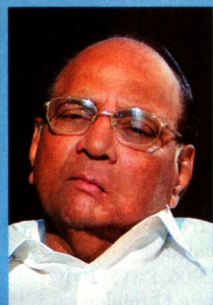


consumer affairs minister

PARKASH SINGH BADAL, CM, Punjab

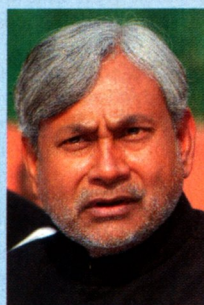
NITISH KUMAR, CM, Bihar



"We will be careful in allowing big corporates in agri-retailing as it could harm the small shopkeepers."



"We are not against retail outlets coming. We see them as a challenge that should be changed into an opportunity."



AP PHOTO/SASANKA SEN



VENDING FURY: A Reliance Fresh outlet being vandalised in Ranchi

close down any establishment on a permanent basis unless there is violation of law". Adding that on grounds of law and order, states could shut down stores temporarily, he expressed confidence that the closure of stores wouldn't be permanent.

India may be a free market, and a consuming class of 300 million may be the driving force behind the country's fast growth, but politics of appeasement has little to do with consumers or even farmers, who are the biggest ben-

PRESENCE AND PLAN				
RETAILER	CITIES	FORMATS	NO. OF STORES	EXPANSION PLANS
Big Bazaar	26	Hypermarket	36	80 by 2008 and 225 by 2010
Spencer's	All India	Hypermarket	7	60 stores by 2008-09
Star India Bazaar	Ahmedabad	Hypermarket	1	2 more planned in Mumbai, Bangalore
Hypercity	Mumbai	Hypermarket	1	23 stores by 2010
Vishal Megamart	28	Hypermarket	46	410 stores by 2010
Reliance Retail	10	Supermarket/All	100	1,000 hypermarkets
Shoprite	Mumbai	Hypermarket	1	3 stores by 2008 and enter Cash & Carry
Metro AG	Bangalore	Cash & Carry	3	Distribution centres in all major cities
Magnet	Mumbai	Hypermarket	1	50 stores by 2010

Source: Technopak

eficiaries of organised retailing. With investments of \$30 billion (Rs 1,23,000 crore) lined up, retailers are not only looking at great prices for the consumers, but are also offering a lucrative deal to farmers by guaranteeing a steady offtake from the farm gates at prices better than what the middleman offers. Says N.V. Sivakumar, leader of the retail practice at PwC: "India is the third largest producer of agri-products but wastage accounts for nearly 24-40 per cent." With retailers investing in cold chains, this wastage can be plugged and better prices can be paid

to the farmers. Currently, consumers pay six times more because there are several levels of middlemen in the supply chain and with retail chains threatening this class, cudgels have been taken up against them.

While no retailer wishes to comment on this issue, it's evident that despite all the posturing, the state ban on retailers is not going to be an easy task. In Kerala, for instance, three months after protests broke out, no legislation has been brought out as the Government doubts the sustainability of such a law. In Kochi and Alappuzha,